CSIS JAPAN CHAIR

Japan Daily Brief

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RE: DPRK fires ~12 SRBMs · US-Japan missile co-production · Koizumi at J-ASEAN/ADMM · Japan-Germany summit · BOJ holds · Sanrio-China row

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
64,659.47	158.01	$110.19	7.00%
▲ +3.14%	▲ +0.97%	▼ -4.85%	

TOP STORIES

DPRK

North Korea Launches Suspected Ballistic Missile, Japan Says

North Korea fired approximately 10-12 short-range ballistic missiles off its eastern coast on October 29, with projectiles landing outside Japan's EEZ, per Japan's MOD and South Korean Joint Chiefs of Staff. The salvo follows North Korea's rejection of South Korea's offer of border talks and an intensifying dispute over a landmine blast; MOFA issued a joint statement with allies calling on Pyongyang to abandon its nuclear and missile programs.

BLOOMBERG

ALLIANCE

As Missile Stockpiles Dwindle and China Looms, U.S. Turns to Japan for Production

Tokyo and Washington agreed to establish a facility in Japan to assemble key air-to-air missiles, per the Wall Street Journal, amid concerns over dwindling US stockpiles and China's military posture. The Washington Post separately confirmed the arrangement, framing it as part of the broader US-Japan defense-industrial expansion.

WSJ

INDO-PACIFIC

German Chancellor Merz invites Japan to back trade alliance; Berlin weighs GCAP role

German Chancellor **Friedrich Merz**, during his Tokyo summit with PM Takaichi, invited Japan to join a trade partnership framework as China urged Germany to be 'rational,' and separately indicated Berlin is weighing a role in the GCAP next-generation fighter program. Japan and Germany agreed on critical mineral supply chain cooperation and launched AI talks, per Kyodo.

REUTERS · OCT 29

CHINA-JAPAN

Hello Kitty gets caught up in Japan-China spat

Sanrio, maker of Hello Kitty, cut its commercial tie with Japanese TV drama *Vivant* after Chinese state media and social-media users condemned the show's portrayal of Chinese intelligence agents as a 'deliberate smear,' per FT and Bloomberg. Sanrio apologized on Weibo, saying the drama contained 'elements inconsistent with Sanrio's core values,' while China's Global Times ran an editorial demanding the company 'not dance with Japan's right wing.'

FT

DEFENSE

Japan weighs corporate tax hike to fund defense buildup

Tokyo is considering raising the corporate tax rate to help fund its sustained defense spending buildup, per Nikkei Asia, as the government searches for revenue sources beyond deficit bonds under PM Takaichi's stated fiscal discipline. Japan reached its 2%-of-GDP defense spending target in JFY2025.

NIKKEI ASIA

ECONOMY-BOJ

Japan credit risk jumps most since 2022, pressuring bond market

Japan's sovereign credit-default-swap spreads recorded their largest single-session jump since 2022, per Bloomberg, as the BOJ's two-day Monetary Policy Meeting opens against a backdrop of rising JGB yields and investor scrutiny of the post-meeting policy statement.

BLOOMBERG · OCT 29

STAT OF THE DAY

~12

Ballistic missiles fired by North Korea toward East Sea, Oct 29

South Korea and Japan both confirmed the salvo of approximately 10-12 short-range ballistic missiles launched off North Korea's eastern coast, with Japan's MOD issuing multiple successive press releases tracking the projectiles.

North Korea fires off around a dozen ballistic missiles — The Japan Times

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · THURSDAY, OCTOBER 29, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi concluded the Japan-Germany Summit Working Dinner with Chancellor Merz and the Japan-Bangladesh Summit, with outcomes released by the Kantei on October 28-29 covering critical mineral supply chains, AI cooperation, GCAP, and a one-trillion-yen Bangladesh investment framework.

防衛省 · MINISTRY OF DEFENSE · *Shinjiro Koizumi, Defense Minister*

Koizumi attends 10th Japan-ASEAN Defense Ministers' Meeting and Japan-US-Australia-Philippines quadrilateral defense ministerial in Philippines

Defense Minister **Shinjiro Koizumi** attended the 10th Japan-ASEAN Defense Ministers' Meeting and held bilateral defense talks with his Singapore, Vietnam, Philippines, India, and South Korea counterparts on October 28, per MOD release summaries. A joint press statement with the Philippines was issued, and a quadrilateral defense ministerial with the US, Australia, and the Philippines also convened.

防衛省 · MINISTRY OF DEFENSE · *Shinjiro Koizumi, Defense Minister*

Koizumi holds Japan-South Korea defense ministers' bilateral; atmosphere described as 'warm' despite Yasukuni context

The Japan-ROK defense ministers' meeting — the first since Koizumi's Yasukuni Shrine visit — was described by Asahi as projecting a 'warm atmosphere,' with both sides managing the bilateral optic against the backdrop of persistent historical sensitivities. Defense chiefs of South Korea, Japan, and Australia also met separately, reaffirming three-way coordination with the US amid North Korean threats, per Yonhap.

防衛省 · MINISTRY OF DEFENSE

MOD issues multiple successive press releases on North Korean ballistic missile launch

Japan's Ministry of Defense issued rapid-succession releases — initial flash, estimated splashdown, and follow-up — confirming North Korea's launch of suspected ballistic missiles on October 29, stating the projectile(s) landed outside Japan's EEZ.

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

LDP, JIP, and DPP agree to cut Lower House seats from 465 to 434 — largest-ever reduction

The three parties agreed to introduce and pass legislation in the current Diet session cutting *31* proportional representation seats, reducing the Lower House from 465 to 434 members. The Korea-language Financial News reported the same figure; Japan Times confirmed the agreement.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**

JNN · Oct 4, 2026 · **25d ago**	**63%**	**33.9%**

Discourse: Kyodo's focus piece warns that PM Takaichi's 'tightening grip' on the party and cabinet may stir intraparty LDP dissent in her second year, as her approval rate (49.1% per Kyodo, a record low for that pollster) has fallen below 50% for the first time.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

MACRO · BLOOMBERG

Global fund managers grow bullish on Japanese government bonds

Global fund managers are increasing exposure to JGBs ahead of the BOJ's October 29-30 Monetary Policy Meeting, per Bloomberg, even as Japan's credit-default-swap spreads recorded their largest jump since 2022.

TECH · JAPAN FORWARD

China rare-earth magnet exports to Japan fall 25% YoY in September; US shipments rise 44%

China's rare-earth magnet exports to Japan dropped *25 percent* year-on-year in September 2026, while shipments to the United States rose 44 percent amid a US-China trade truce, per Japan Forward — a data point reflecting the ongoing diversion of Chinese rare-earth flows away from Japan.

MANUFACTURING · NIKKEI ASIA · ANA HOLDINGS

ANA Holdings to acquire regional airlines to expand domestic network

ANA Holdings announced plans to acquire regional airlines as part of a strategy to enhance domestic flight coverage, per Nikkei Asia; the company separately disclosed a possible unauthorized-access incident and an 11.8 percent year-on-year decline in net profit for April-September, per Mainichi.

REGIONAL PRESSURE WATCH WATCH

Heavy — 63 items (41 DPRK, 8 METI, 7 BOJ, 3 Kantei, 3 CCS, 1 China MOFA)

CHINA

China's rare-earth magnet exports to Japan fell *25 percent* year-on-year in September 2026 while US-bound shipments rose 44 percent, per Japan Forward, reflecting the continued diversion of critical-mineral flows away from Japan. Separately, China's disarmament union called on the IAEA to increase supervision of Japan's plutonium stocks, per TASS, a signal China continues to link Japan's defense posture to nonproliferation pressure.

NORTH KOREA

North Korea fired approximately 10-12 short-range ballistic missiles off its eastern coast on October 29, the projectiles landing outside Japan's EEZ per MOD, in what South Korean and Japanese authorities confirmed as the largest salvo in recent months — timed to coincide with Seoul's border-talks offer and escalating landmine tensions on the inter-Korean border. MOFA issued a joint allied statement calling on Pyongyang to abandon its nuclear and missile programs.

RUSSIA

No new Russia-specific signal toward Japan in today's Tier 1 or Tier 4 data beyond the persistent baseline of the Hokkaido Shimbun reporter Yuki Imai's detention and Moscow's standing demand that Tokyo drop 'unfriendly policies.'

Senkaku / ECS: No new China Coast Guard or PLA activity near the Senkakus is reported in today's Tier 1 or Tier 4 data; the chronic CCG patrol baseline continues.

> *“Hello Kitty should not dance with Japan's right wing”*
>
> Global Times editorial board · Hello Kitty should not dance with Japan's right wing: Global Times editorial

Bottom line: North Korea's salvo of approximately a dozen SRBMs — the largest in recent months — fired as Japan's defense minister was physically present at the ASEAN Defense Ministers' Meeting in Manila and a Japan-US-Australia-Philippines quadrilateral ministerial convened; today's MOFA joint statement and the trilateral Japan-ROK-Australia defense ministerial are the immediate allied responses to watch.

U.S.-JAPAN RELATIONS

ALLIANCE · USFJ

KEEN SWORD 27 Senior Enlisted Symposium convenes; USFJ-JGSDF EOD live-fire exercise conducted

US Forces Japan reported the KEEN SWORD 27 Senior Enlisted Symposium delivered a combined leader network focused on 'human interoperability,' while PACOM confirmed a live-fire EOD exercise involving the 3rd EOD Company and Japan Ground Self-Defense Force EOD units under KEEN SWORD 27.

ALLIANCE · THE JAPAN TIMES

Former NSA Director Michael Rogers urges Japan to accelerate active cyber defense posture

Former NSA Director **Michael Rogers** said in a Japan Times interview that spending 'weeks and months on strategy is not conducive to an active cyberdefense posture,' pressing Tokyo to move faster on implementing its active cyber defense framework — a direct input to the emergency cybersecurity package PM Takaichi directed be compiled last week.

INDO-PACIFIC PARTNERS

TRILATERAL · YONHAP

Defense chiefs of South Korea, Japan, and Australia meet on sidelines of ADMM

The defense ministers of Japan, South Korea, and Australia held a trilateral meeting in Manila, reinforcing the pattern of minilateral security coordination under the shadow of North Korea's missile program and China's regional posture.

SOUTHEAST ASIA · KYODO NEWS

Koizumi urges ASEAN unity at ADMM, warns of 'dangerous miscalculations'

Defense Minister Koizumi used the Japan-ASEAN Defense Ministers' Meeting to press for ASEAN unity and warned against 'dangerous miscalculations,' while Asahi separately reported he stressed that Japan's defense buildup does not change its exclusively defense-oriented posture (*senshu boei*).

SOUTHEAST ASIA · MOD JAPAN

Japan and Philippines issue joint press statement following defense ministers' bilateral

Japan and the Philippines released a joint press statement after their defense ministers' meeting in Manila on October 28, the latest in a series of bilateral defense-engagement milestones between Tokyo and Manila.

EXPERT ANALYSIS AND EVENTS

OP-EDS & THINK TANK COMMENTARY

NBR JAPAN

The Value of U.S.-Japan-ROK Trilateralism: A View from the Three Capitals

The US-Japan-ROK trilateral framework retains strategic value despite political headwinds in all three capitals, as seen from Tokyo, Seoul, and Washington.

The National Bureau of Asian Research examines the trilateral relationship from the perspective of all three capitals, assessing its resilience under domestic political pressures. The analysis comes as Japan-ROK defense ministers met in Manila today reaffirming three-way US coordination amid North Korean provocations. The framework's operational depth — including missile tracking and intelligence sharing — is assessed as durable even when political-level relations fray.

SO WHAT Today's Japan-ROK defense ministerial and the DPRK missile salvo make this assessment directly operationally relevant for US-Japan-ROK trilateral coordination planners.

NBR JAPAN

The Quad Without Convergence: India, Japan, and the Resilience of Minilateral Cooperation

India and Japan sustain minilateral cooperation within the Quad despite divergent strategic priorities, with the framework's resilience resting on issue-specific convergence rather than comprehensive alignment.

NBR analyzes how India and Japan maintain cooperation within the Quad framework without achieving full strategic convergence, arguing that minilateral structures can be durable even in the absence of uniform threat perception. The piece is pertinent as Japan's Sumitomo Mitsui Trust Bank deepens financial engagement with India today and as Germany's GCAP overtures open new minilateral defense-industrial pathways for Tokyo. The framework's resilience, the analysis argues, may depend more on specific deliverables — supply chains, technology transfer, maritime domain awareness — than on shared ideology.

SO WHAT For US policymakers, the analysis suggests Quad durability requires investment in concrete project-level deliverables rather than summit-level political signaling alone.

SOCIAL STATEMENTS

Shinjiro Koizumi
Defense Minister of Japan · Asahi Shimbun · Oct 29

“専守防衛は変わらず”

Analyst: Koizumi made the statement — translatable as 'the exclusively defense-oriented posture remains unchanged' — at the Japan-ASEAN Defense Ministers' Meeting in the Philippines, addressing concerns raised by regional partners about Japan's defense buildup.

Source →

UPCOMING

Oct 30

BOJ Monetary Policy Meeting concludes; rate decision and statement expected

The Bank of Japan's two-day MPM ends October 30, with the policy rate decision and post-meeting statement due. Market consensus points to a hold at 7.00%, with attention on forward guidance given inflation reaching what analysts describe as a 'long-awaited milestone.'

Nov 1

Japan's November 1 deadline for EU EV subsidy demands

Japan has set a November 1 deadline for EU policy changes on EV subsidies, per reporting, pressing Brussels not to exclude Japanese automakers from 'Made in Europe' subsidy frameworks — a demand PM Takaichi raised directly with Chancellor Merz during the Japan-Germany summit.

Nov 15

Ehime gubernatorial election: incumbent seeks fifth term

Ehime Prefecture holds its gubernatorial election on November 15, with the incumbent seeking a fifth term against two challengers, per Asahi — a regional political test for the LDP coalition under PM Takaichi.

Nov

Emergency cybersecurity package deadline (within weeks of Oct 27 directive)

PM Takaichi directed the government on October 27 to compile an emergency cybersecurity package 'by next week'; the package's release and contents are expected to become public in early November, informed by former NSA Director Rogers' remarks on accelerating Japan's active cyber defense posture.

Dec

Cabinet draft defense budget due; corporate tax decision expected

Japan's annual Cabinet draft budget is typically finalized in December, this year carrying the unresolved question of whether a corporate tax hike will be incorporated as a financing mechanism for the defense buildup, per Nikkei Asia.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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